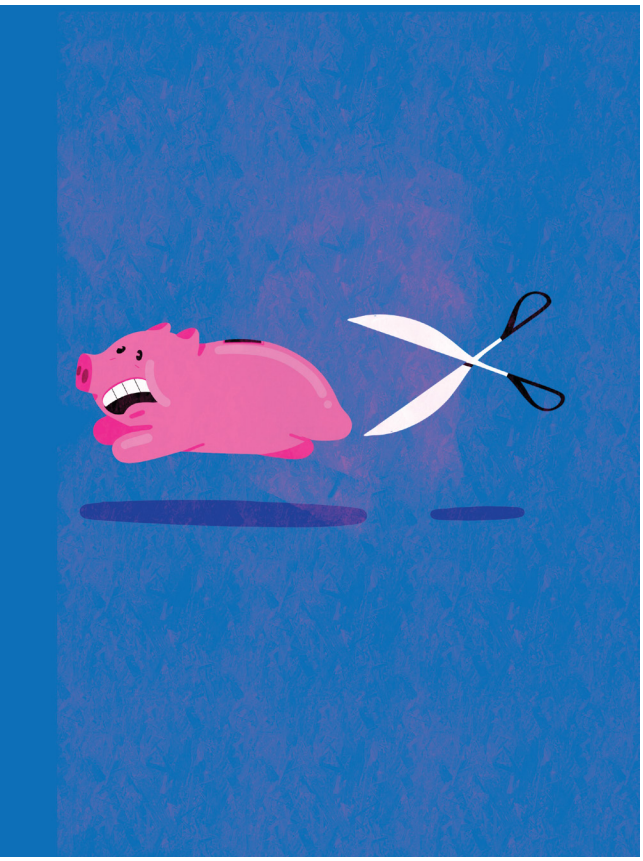


with the information in Form 16 before filing your ITR. Do provide details of all your existing bank accounts if not already done.

5. OMITTING CAPITAL GAINS

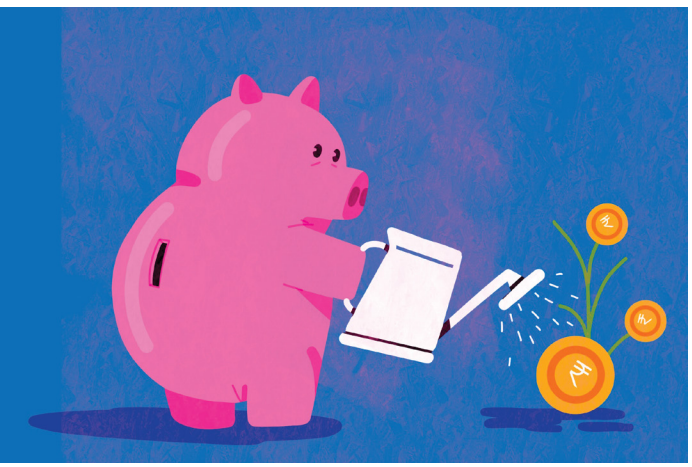
It is mandatory to mention capital gains or losses in the ITR. Income from shares and mutual funds, sale of property and any other form of capital gains come under the purview of capital gains. If you fail to mention any such profit or loss, it may lead to a tax audit.

THE SOLUTION: The income tax department allows taxpayers to check their Capital Gains Statement, something which is generated with mutual fund and share sales transactions. It is in your interest to be aware of the tax implication on the sale of assets leading to capital gains and keep track of the same.

6. NOT VERIFYING ITR

It is one thing to file the ITR and another to get it verified. Often taxpayers may have made errors in filing returns, which the tax department informs the taxpayer about to rectify. A period of 120 days after the ITR deadline is provided to verify the ITR. This can be done through Aadhaar OTP or the bank's online banking service.

THE SOLUTION: If you file the ITR without an Aadhaar-based verification and digital signature, you need to send a signed copy of ITR-V to the Bengaluru branch of the IT department's Centralised Processing Centre (CPC) within 120 days of e-filing. If you fail to send the ITR-V to CPC, your filing will not be validated. ■



THE SOLUTION: Markets internalise news and events while evaluating, especially equity investments. Investors need to have a long-term as well as short-term perspective on their investments, which may be different from the news events that govern the performance of the particular investment. The key to becoming a successful investor is to extract information from noise and not let the noise govern your investment decisions.

5. TIMING THE MARKET

When investing in stock markets, the wisdom is to buy low and sell high. In practice, it is only in hindsight that one clearly understands when the exact low was and when a high was achieved.

THE SOLUTION: Instead of timing the market, spend time in the market by staying invested for the long term. Similarly, instead of adopting a trading approach to investing by frequently buying and selling investments, invest with a clear time-frame and objective. If you invest for 10 years or more, you should certainly not be looking at returns every few weeks.

6. NOT REVIEWING INVESTMENTS REGULARLY

Choosing an investment that works for you is a good move. However, investments change the way they perform over time and may not work the way you expect them to any more.

THE SOLUTION: When you have a diversified portfolio, there is a great chance that some investments will go up while others come down. Review your investments once a year or at appropriate periodicity to check if they still work for you. If so, stay invested in them; if not, exit them and look for alternative options. ■